IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA (CAA) 81/BB/2017
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALAGAMATION
IN THE MATTER OF
SHETRON METROPACK PRIVATE LIMITED
WITH
SHETRON LIMITED

Order delivered on 12th December, 2017

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

M/s. Shetron Limited
Plot No.1, Bommasandra Industrial Area
Hosur Main Road
Bengaluru-560099 - **Applicant / Transferee Company**

For the Petitioner (s): Parameshwar G. Bhat,
Practising Company Secretary
Representing the Applicant Company

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical) - (Author)
Heard on: 07.11.2017, 22.11.2017, 06.12.2017.

ORDER

This Application is filed on behalf of the Applicant Company under Section 230 and 232 of the Companies Act, 2013 read with Companies (Compromises, Arrangement and Amalgamation) Rules, 2016, order for dispensation for holding the meeting of the Equity shareholders, Secured and Unsecured Creditors or alternatively direct to convening the meeting of the Equity shareholders, secured and unsecured creditors for approving the Scheme of Amalgamation of **SHETRON METROPACK PRIVATE LIMITED** (Transferor Company) to be merged with **SHETRON LIMITED** (Applicant/Transferee Company) in terms of Scheme of Amalgamation shown in **Annexure-B.**

The averments made in the Company Application are briefly described hereunder:- The Applicant Company seeks an order for dispensation for holding the meeting of the Equity shareholders, Secured and Unsecured Creditors or alternatively direct to convening the meeting of the Equity shareholders, secured and unsecured creditors for approving the Scheme of Amalgamation of **SHETRON METROPACK PRIVATE LIMITED** (Transferor Company) to be merged with **SHETRON LIMITED** (Applicant/Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-B.**

It is further averred in the Application that the Applicant/Transferee Company was incorporated on 09th June, 1980 under the provision of the Companies Act, 1956 in name and style of Shetron Metals Limited. Subsequently on 04th December, 1989 the name of the company was changed to Shetron Limited having CIN bearing No. L21014KA1980PLC003842. The Registered office of the Applicant Company is situated at Plot No. 1, Bommasandra Industrial Area, Hosur Main Road, Bangalore-560 099.

The main objects of the Applicant Company are:-

i. to carry on in India or elsewhere the business of manufacturers, extruders, convertors and /or processors of packing materials products and requisites of every type, description, design and kind whether used in primary or other form of packaging and whether made of metals, papers, boards, polyethylene, polypropylene, PVC, other plastic, aluminium foil, cellophane, wood, glass or other materials and derivatives

ii. To carry on in India or elsewhere the business of manufacturers, extruders, convertors and/or processors of battery jackets, battery jacket components other battery accessories of every type, description, design and kind whether made of metals, papers, boards, polyethylene, polypropylene, PVC, other plastic, aluminium foil, cellophane, wood, glass or other materials and derivatives.

iii. To carry on in India or elsewhere the business of printing, by flexographic, rotogravure photo-offset, litho-offset, letterpress, silkscreen and /or any other process, of packing, advertisement and display materials, calendars, designs, other materials and artistic reproduction and/or laminating, coating, waxing, varnishing and converting the said material into containers , cartons, boxes, bags, drums, wrappers, strips, components or any other form of packaging or other products,

articles or commodity and to carry on in India or elsewhere the business of manufacturing articles for display, decoration, stationery or any other use.

iv. To carry on in India or elsewhere the business of manufacturers and/or repairs of machinery of all kinds, machinery parts, tools and accessories thereof.

v. To carry on in India or elsewhere the business of imports, exporters indenters, buyers, seller, commission agents, brokers, and dealers in all kinds of articles, commodities, raw materials, or manufactured articles, whether in a finished or semi-finished state and also to manufacture or process any type of article, product or commodity and to import, export, buy, sell, barter, exchange, pledge, mortgage, advance upon or otherwise, trade and deal in goods and produce articles or merchandise of any kind whatsoever. The copy of latest Memorandum and Articles of Association of the Applicant Company is shown as **Annexure-E.**

The Authorized share capital of Transferee Company is Rs.25, 00, 00,000/- divided into 2, 50, 00,000 Equity Shares of Rs.10/- each. The issued, Subscribed and paid up share capital is Rs.9, 00, 33,000/- divided into 90, 03,300 fully paid up Equity shares of Rs. 10/- each. A copy of the latest Audited financial statements as on 31st March, 2017 is marked as **Annexure –F**.

It is further stated that, the Board of Directors of the Transferee Company have, in the meetings, by resolutions dated 30th May, 2017, unanimously approved the Scheme of Amalgamation. Certified Copy of the Resolution dated 30th May, 2017 passed by the Board of Directors of the Transferee Company is marked as **Annexure- A.**

It is also stated in the application that the applicant has procured all requisite statutory approvals with respect to the scheme. The Applicant has aslo submitted the scheme related documents with the BSE limited as per the SEBI notification dated 15th February, 2017.

The learned PCS has filed a Memo dated 21.11.2017 wherein he has filed a certificate of Chartered accountant certifying that there are 4440 no. of Shareholders, 08 number of secured Creditors and 250 no's of Unsecured Creditors as on 31.07.2017.

The Applicant Company has stated in the Application that the Company as 08 Secured Creditors and the list of Secured Creditors are filed along with the Application at **Annexure- H**. It is further stated that there are 250 Unsecured Creditors in the Applicant Company as on 31.07.2017 and the list of the same is produced at **Annexure-I**. It is also

stated in the Application that the Applicant has 4440 shareholders and the list of shareholders filed along with the petition shown at **Annexure-J.**

The PCS for applicant has filed a memo containing that as per Security Exchange Board of India (SEBI) circular number CFD/DIL3/CIR/2017/21 dated 10th March, 2017. We have heard the PCS appearing for the applicant company. Since it is a listed company and Equity Shareholders are numerous, meeting is to be conducted. However, members can be present in the meeting either by person or by proxy or they may give their assent/dissent by postal ballot or e-voting. The chairman of the meeting shall make necessary arrangement to enable the members to give assent/dissent to the scheme through postal ballot or e-voting.

After hearing the PCS and after perusing the documents filed, we pass the following

ORDER

The meeting of the Equity shareholders of the Applicant Company be convened and held at Plot No 1, Bommasndra Industrial Area, Hosur Road, Bengaluru-560 099 on 31st January , 2018 at 12.00 noon for purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of Shetron Metropack Private Limited (Transferor Company) to be merged with Shetron Limited (Applicant/Transferee Company).

Mr. Divakar Sanku Shetty, Chairman of the Company is the chairperson to conduct the meeting, failing him Mr. Kartik Nayak, (Joint Managing Director) failing him Mr. Praveen Mally (Joint Managing Director) and Mr. VijayaKrishna KT, Company Secretary in Practice as Scrutinizer for the meeting of Equity Shareholders. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20, 000/- and Rs.10,000/- respectively.

The meeting of the Secured Creditors of the Applicant Company be convened and held at Plot No 1, Bommasndra Industrial Area, Hosur Road, Bengaluru-560 099 on 31st January, 2018 at 01.00 p.m. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation Shetron Metropack Private Limited (Transferor Company) to be merged with Shetron Limited (Applicant/Transferee Company).

Mr. Divakar Sanku Shetty, Chairman of the Company is the proposed chairperson to conduct meeting failing him Mr. Kartik Nayak, (Joint Managing Director) failing him

Mr. Praveen Mally (Joint Managing Director) and Mr. VijayaKrishna KT, Company Secretary in Practice as Scrutinizer for the Meeting of Secured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20,000/- and Rs.10,000/- respectively for convening the meeting of Secured Creditors.

The meeting of the Unsecured Creditors of the Applicant Company be convened and held at Plot No 1, Bommasndra Industrial Area, Hosur Road, Bengaluru-560 099 on 31st January, 2018 at 01.30 p.m. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation Shetron Metropack Private Limited (Transferor Company) to be merged with Shetron Limited (Applicant/Transferee Company).

Mr. Divakar Sanku Shetty, Chairman of the Company is the proposed chairperson to conduct meeting failing him Mr. Kartik Nayak, (Joint Managing Director) failing him Mr. Praveen Mally (Joint Managing Director) and Mr. VijayaKrishna KT, Company Secretary in Practice as Scrutinizer for the Meeting of Unsecured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.20000/- and Rs.10,000/- respectively for convening the meeting of Unsecured Creditors.

The quorum for the Meeting of Equity shareholders is 15 fixed by the Tribunal.

The quorum for the Meeting of Secured Creditors is 2 fixed by the Tribunal.

The quorum for the Meeting of Unsecured Creditors is 5 fixed by the Tribunal.

The Notice of the meeting of Equity Shareholders, Secured & Unsecured Creditors shall be published in an English Daily "Financial Express" and in Kannada Daily "Sanjevani".

The Applicant Company or its authorized signatory is directed to issue notice(s) to Equity Shareholders, Secured & Unsecured Creditors of Applicant Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Equity Shareholders, Secured & Unsecured Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Equity Shareholders, Secured and Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of scheme of arrangement, a copy of Explanatory Statement, pursuant to be sent under Section 230 of

the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

The Applicant Company is directed at least 30 clear days before the meeting of the Equity Shareholders, Secured & Unsecured Creditors of the Applicant Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Amalgamation and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

The Applicant Company to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Income Tax Authority, within whose jurisdiction that Applicant Company's Assessment is made, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

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The Applicant Company to serve the notice upon the Reserve Bank of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the

Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Reserve Bank of India within 30 days of the date of receipt of the notice it will be presumed that Reserve Bank of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Securities Exchange Board of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Securities Exchange Board of India within 30 days of the date of receipt of the notice it will be presumed that Securities Exchange Board of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Competition Commission of India, if applicable pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Competition Commission of India within 30 days of the date of receipt of the notice it will be presumed that the Competition Commission of India has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the other Sectoral Regulators or Authorities, Stock Exchange pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities, Stock Exchange within 30 days of the date of receipt of the notice it will be presumed that the other Sectoral Regulators or Authorities, Stock Exchange has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice upon the Official Liquidator pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities, Stock Exchange within 30 days of the date of receipt of the notice it will be presumed that the Official Liquidator has

no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

The said Chairperson shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

The said Chairperson to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In any eventuality when the Applicant Company approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Amalgamation to put forth their contentions before the Tribunal.

12/12/17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

12/12/17

(RATAKONDA MURALI)
MEMBER, JUDICIAL

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